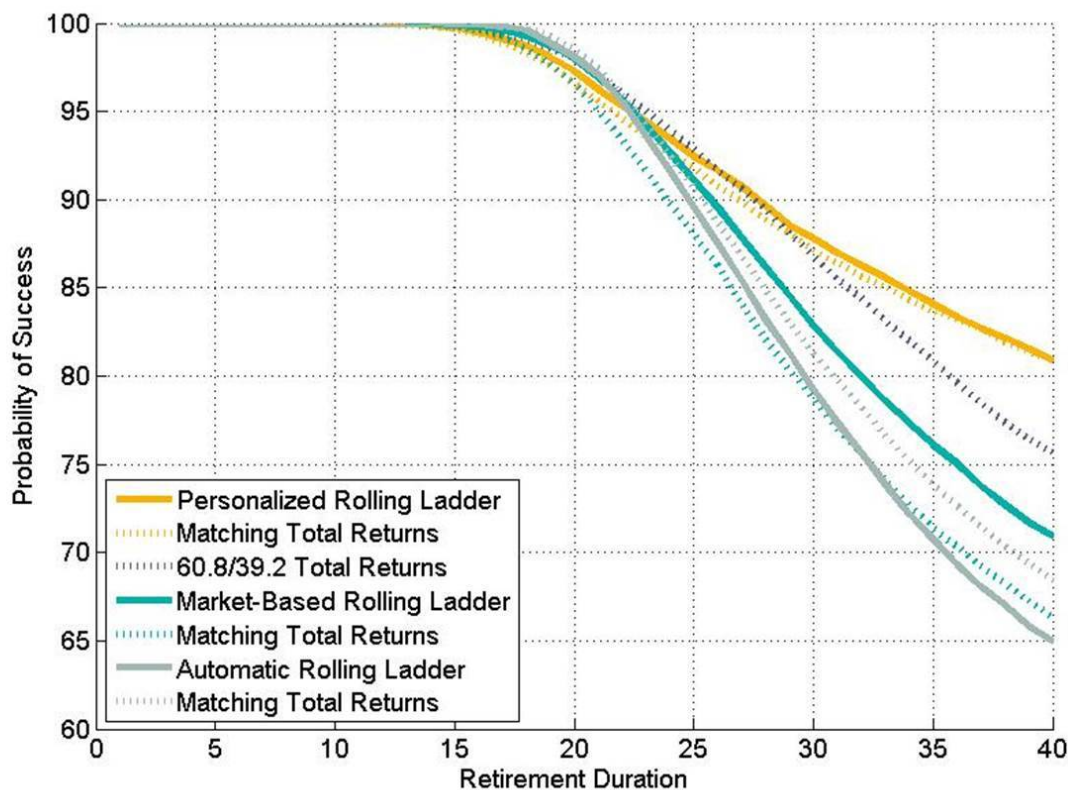




It is difficult to argue that time segmentation by itself provides a superior investing strategy for retirees. The superior results appear to be attributed to the dynamic asset allocation that results from coupling the critical path to a time segmentation strategy to create a personalized rolling ladder. However, the results are nearly equivalent for a total-returns approach with the same dynamic asset allocation. That suggests that the more aggressive asset allocation is primarily responsible for the overperformance. This strategy could be recommended for retirees who would otherwise reject a more aggressive total-returns investing approach but are comfortable with the argument that a more aggressive allocation is justified when the bond ladder is implemented. Of course, in some cases with this strategy, the bond ladder depletes, and the retiree may be left with 100 percent stocks in the latter part of retirement (though heirs may be fine with that). For investors who are unpersuaded by this argument and the empirical tests that confirm it, the strategy is tough to recommend.

In the end, appeals to time segmentation should be based as strongly on the behavioral aspects of the strategy as on its performance. For retirees who